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Recycling with the Best

Weekly Ship Recycling Report

25 January - 31 January 2025

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Highlights of the week

The ship recycling market remained largely inactive across all major destinations this week, with no significant improvements or sharp declines. In India, the market remained unchanged from the previous week, with stable prices and no shift in the availability of imported scrap. However, anticipation is building around the Union Budget 2025, as industry participants expect potential measures to regulate rising steel imports, which could impact future market dynamics. Bangladesh also saw little to no activity, with no updates on the NOC for non-green yards, while weak steel demand and political uncertainty continued to weigh on sentiment. Pakistan experienced a similarly slow week, with minimal transactions and no major developments. In Türkiye, steel prices declined slightly, leading to an increase in ship supply, but end buyers adjusted their bids downward as demand weakened.

Overall, the global ship recycling market remained sluggish, with economic and policy uncertainties keeping participants on the sidelines. While expectations for potential government interventions are growing, the industry continues to operate in a wait-and-watch mode, hoping for renewed demand and policy clarity to bring momentum in the coming weeks.

Global crude steel production reached 144.5 million tonnes in December 2024, up 5.6% from the previous year, mainly driven by China's surge to 76.0 Mt (+11.8%). While India also saw strong growth, key producers like Japan, the U.S., Russia, and South Korea declined, with Germany and Brazil posting modest gains, while Türkiye and Iran dropped. China's total 2024 steel output hit 1.173 billion tonnes, exceeding half of global production. With domestic demand weakening, China's steel exports jumped 36.2% to 90.26 million tonnes, the highest since 2016. This oversupply has led to concerns over market dumping, prompting countries like India and Malaysia to impose anti-dumping measures and tariffs. While China drives global steel growth, its export surge is straining international markets.

Exchange Rates:

USD / INR ₹

This Week	: 86.62
Previous Week	: 86.25
Lost	: 0.37

USD / BDT ৳

This Week	: 121.97
Previous Week	: 121.80
Lost	: 0.17

USD / PKR Rs

This Week	: 278.90
Previous Week	: 278.62
Lost	: 0.28

USD / TRY ₺

This Week	: 35.86
Previous Week	: 35.69
Lost	: 0.17

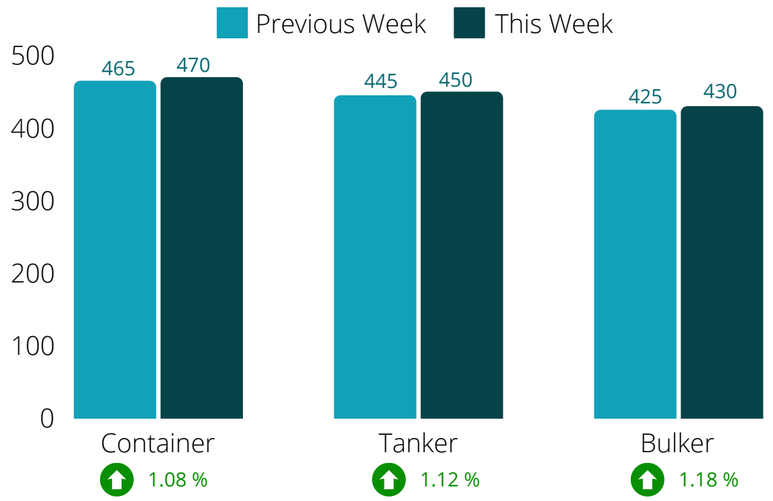
India

Market same as previous week, anticipation builds for budget impact on steel imports.

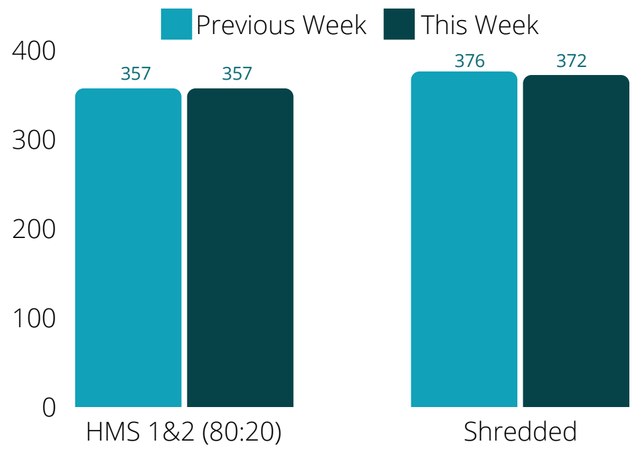
- The market continues to hold steady without any significant changes from the previous week. While there has been no improvement, there has also been no further decline. Similarly, the availability of imported scrap remains unchanged too.

- With the Union Budget 2025 set to be presented tomorrow, market participants are eagerly anticipating potential policy measures to address the rising imports of steel. While no concrete developments have taken place yet, there is growing speculation that the government may introduce steps to curb excessive imports and support the domestic steel industry. Any such intervention could play a crucial role in shaping market sentiment in the days ahead.

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Beaching Dates

31 January to 04 February

10 February to 16 February

26 February to 05 March

Bangladesh

Market stagnant as steel demand weakens and economic uncertainty persists.

- The market has seen no significant activity or developments.
- There is still no update on the NOC for non-green yards, despite the deadline approaching.
- Overall sentiment remains low due to weak steel demand, as the absence of an elected government has stalled new projects and slowed economic activity.
- The Centre for Policy Dialogue (CPD) has called for an early national election, stressing that political stability is vital for economic growth. At the release of its economic report, CPD urged a favorable environment to expedite the process and proposed holding the election between December 2025 and June 2026.

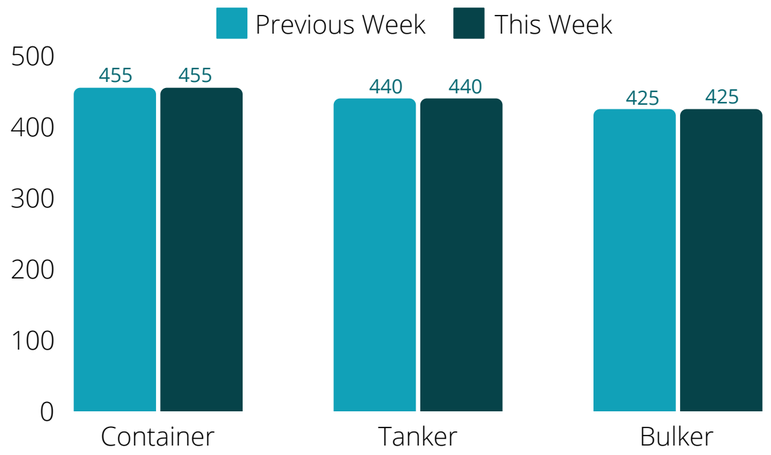
Beaching Dates

14 February to 17 February

28 February to 03 March

14 March to 17 March

Price for Recycling Ships in Bangladesh



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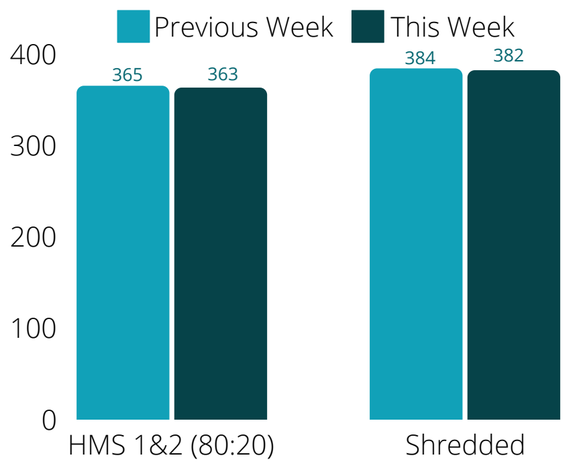


Pakistan

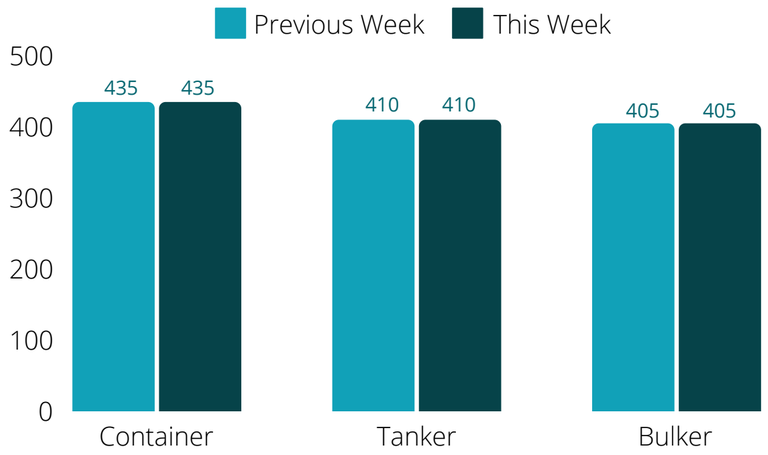
The market remains sluggish with limited activity, marking a slow week.

- The market has shown no significant developments, making it a notably slow week.
- Pakistan Steel Mills is under evaluation for revival as a team of Russian experts assesses its feasibility. The Ministry of Industries and Production informed the National Assembly's Standing Committee that the assessment is ongoing, with a final decision expected by June 30.
- Pakistan's central bank has eased its monetary policy further, cutting the benchmark interest rate by 100 basis points to 12%. This move extends a series of rate reductions, totaling 1,000 basis points in six months, after previously reaching a peak of 22% last year. The shift reflects one of the most significant policy adjustments among emerging economies.

Beaching Dates

Throughout the month

Price for Recycling Ships in Pakistan



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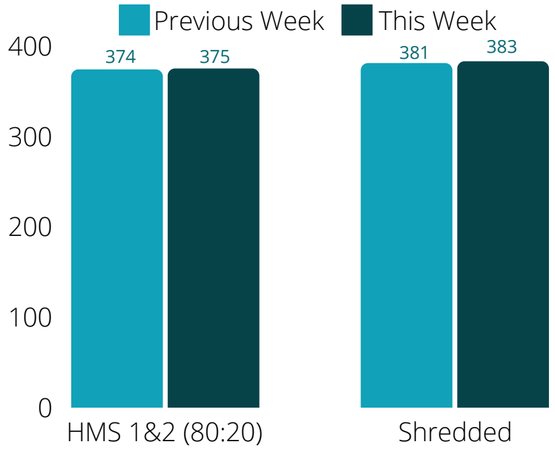
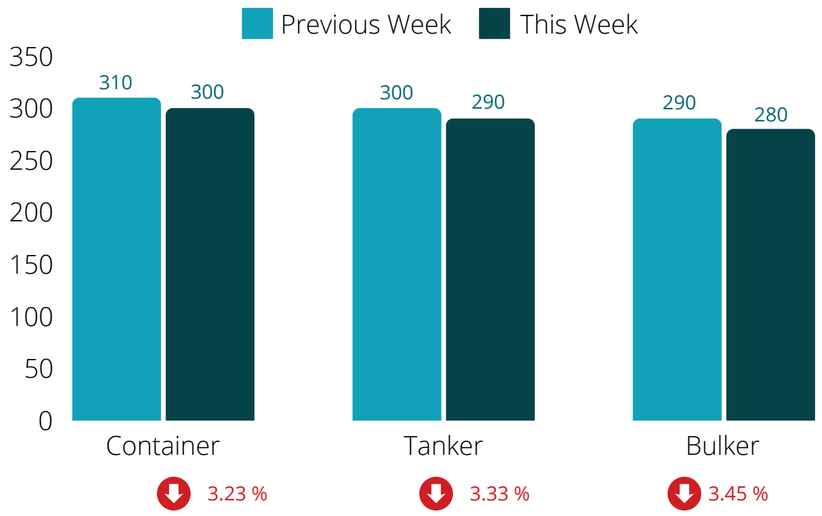


Türkiye

Market sees slight steel price drop; ship recycling demand weakens amid increased supply.

- Steel prices have dropped slightly by about 6 USD this week. At the same time, more ships are being offered for recycling.
- With supply increasing, end buyers are lowering their offers, and ship recycling yards are not as eager to secure tonnage because demand is weakening.
- The Turkish lira's short-term volatility has dropped to a 10-month low following the implementation of the True Value Strategy. The strategy keeps the lira's value below inflation and includes measures like interest rate adjustments, budget deficit reduction, and increasing foreign currency reserves.

Price for Recycling Ships in Türkiye



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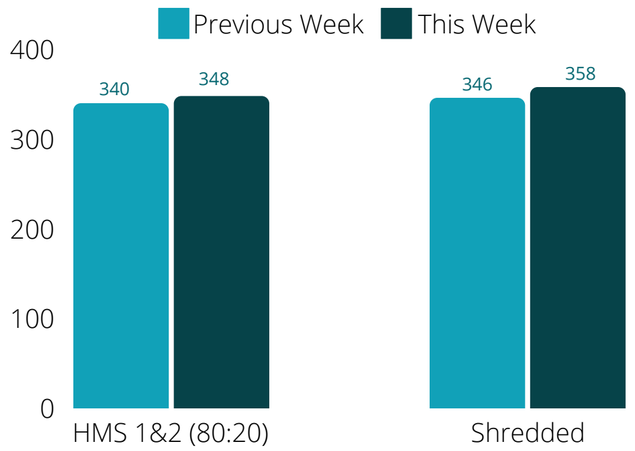
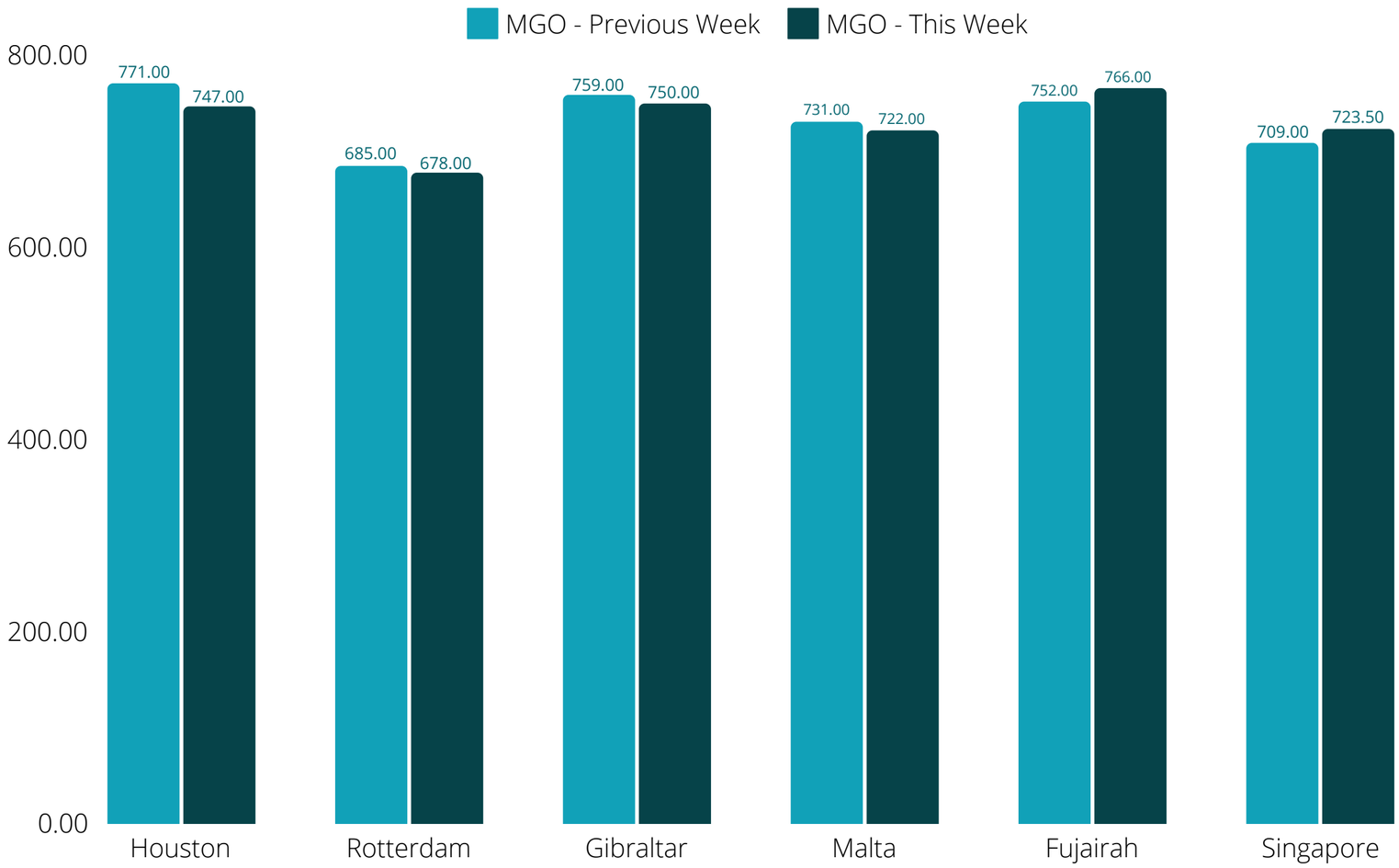


Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week	: 75.74
Previous Week	: 78.85
Movement	: -3.11

WTI Crude

This Week	: 72.61
Previous Week	: 75.06
Movement	: -2.45

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
TAKUN	FSO	7389493	1977	SWEDEN	47,335.00	DELIVERED	ALANG, INDIA	UNDISCLOSED
AK HAMBURG	GENERAL CARGO	8204157	1982	JAPAN	2,574.68	DELIVERED	ALANG, INDIA	440

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